
FINALTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

_____ The
loans made between borrowers and lenders:

▶Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds

▶Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders

▶Are assets to the borrowers as he obtains funds and also the liability to the borrowers as he has to pay it

▶Are not part of either's assets or liabilities until the loans are repaid

Question No: 2 (Marks: 1) - Please choose one

_____ The
future value of \$200 at a 5% per year interest rate at the end of one year is:

(Regard)

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▶\$195.00

▶\$210.00

▶\$197.50

▶\$100

Question No: 3 (Marks: 1) - Please choose one

_____ If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of \$200 payment? (Without applying formula).

▶\$45.35

▶\$272.1

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▶\$181.4

▶\$362.8

Question No: 4 (Marks: 1) - Please choose one

_____ The interest rate that is involved in _____ calculation is referred to as discount rate

▶Present value

▶Future value

▶Intrinsic value

(Regard)

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►Discount value

Ans ►Present value

Question No: 5 (Marks: 1) - Please choose one

_____ If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- Market interest rate the same as the coupon rate
- Market interest rates above the coupon rate
- Market interest rates below the coupon rate
- None of the given options

Question No: 6 (Marks: 1) - Please choose one

_____ The risk premium for an investment:

- Increases with risk
- Is a fixed amount added to the risk free return
- Is negative for U.S. Treasury Securities
- Is negative for risk averse investors

Question No: 7 (Marks: 1) - Please choose one

(Regard)

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Which of the following patterns of term structure occur most frequently?

▶Ascending yield curve

▶Descending yield curve

▶Flat yield curve

▶Humped yield curve

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

▶Higher the tax rate wider the gap between the yield of taxable and tax exempt

bond

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▶Taxable bond yield is always greater than tax exempt bond

▶Higher the tax rate shorter the gap between yield of taxable and tax exempt bond

▶Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 9 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

▶Shorter

▶Wider

(Regard)

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▶No gap

▶Any thing can be possible

Question No: 10 (Marks: 1) - Please choose one

_____ A
graph in which time to maturity is along x-axis and yield to maturity is along y-axis is called _____.

▶Government curve

▶SWAP curve

▶Yield curve

▶LIBOR curve

Question No: 11 (Marks: 1) - Please choose one

_____ A
share of common stock represents _____.

▶A claim from a lender to a borrower

▶A share in the company's assets

▶A share of ownership of the company

▶An unlimited liability to the owner of the stock

Question No: 12 (Marks: 1) - Please choose one

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Deflation compounds information problems because:

►It increases a company's net worth

►It reduces the dollar value of assets while the dollar value of liabilities stays constant

►It tends to understate a company's assets and overstate their liabilities

►It always harms lenders

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a Bank Liability?

►Reserves

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►Treasury bonds

►Loans

►Federal fund borrowings

Question No: 14 (Marks: 1) - Please choose one

stand by letter of credit is a form of: A

►Loan

►Insurance

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▶Security

▶Deposits

Question No: 15 (Marks: 1) - Please choose one

Which of the following is the primary source of funds for Depository institutions?

▶Short term loans

▶Shares sold to customers

▶Savings and time deposits

▶Commercial papers

Question No: 16 (Marks: 1) - Please choose one

Under the purchase and assumption method of dealing with a failed bank, the FDIC _____.

▶Sells the failed bank to the Federal Reserve

▶Finds another bank to take over the insolvent bank

▶Takes over the day to day management of the bank

▶Sells off the profitable loans of the failed bank in an open auction

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Question No: 17 (Marks: 1) - Please choose one

"The Government is too big to fail" policy applies to the_____.

- ▶Bank run in specific highly populated states which impacts a large percent of the total population
- ▶Banks that have branches in more than two states
- ▶Large corporate payroll accounts held by some banks where many people would lose their income
- ▶Large banks whose failure would certainly start a widespread panic in the financial system

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Question No: 18 (Marks: 1) - Please choose one

_____ An open market purchase of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

- ▶A decrease in the asset of securities and a decrease in the liability of reserves
- ▶A decrease in the liability of reserves
- ▶No change in the size of balance sheet except composition of assets
- ▶An increase in the asset category of securities and the liability category of reserves

Question No: 19 (Marks: 1) - Please choose one

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If
M = the quantity of money, m the money multiplier, MB the Monetary Base; C = Currency, D = Deposits; R = Reserves, RR equals required reserves; and ER = excess reserves; then m would equal:

► M/MB

► R/ER

► C + D

► C + D – ER

Question No: 20 (Marks: 1) - Please choose one

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assumptions behind the quantity theory of money include which of the following?

► The change in nominal GDP is zero

► Percentage change in the price level equals the percentage change in real GDP

► The velocity of money is constant

► The money supply is fixed

Question No: 21 (Marks: 1) - Please choose one

(Regard)

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A
rate of inflation that is less than the growth rate of money for a country could be explained by which one of the following?

- ▶A decreasing velocity of money
- ▶A contracting real economy
- ▶A constant velocity of money
- ▶A increasing velocity of money

Question No: 22 (Marks: 1) - Please choose one

Interest rate risk arises as a result of which one of the following consequences?

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- ▶It arises when banks make additional profit by using derivatives
- ▶It arises when loan is not repaid
- ▶It arises because of sudden demands of funds
- ▶It arises when two sides of the balance sheet do not match up

Question No: 23 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for gap analysis?

- ▶It is the difference between the yield on interest sensitive assets and liabilities
- ▶It is the difference in the maturity of assets and liabilities

(Regard)

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►Banks manage credit risk by using gap analysis

►It is a formal study of what a business is doing currently and where it wants to go in the future

Question No: 24 (Marks: 1) - Please choose one

American Bank actively manages a large portfolio of bonds. It trades to enhance the portfolio's profitability. Which of the following risk American Bank would face most probably?

►Market risk

►Operational risk

►Technology risk

►Insolvency risk

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Question No: 25 (Marks: 1) - Please choose one

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

►Central bank

►Bank regulators

►Commercial banks

►Non bank public

(Regard)

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Question No: 26 (Marks: 1) - Please choose one

Aggregate demand curve slopes down because of many reasons which of the following is **NOT** the reason of its downward slope?

- ▶ Higher inflation increases real money balances
- ▶ Higher inflation induces policymakers to raise the real interest rate
- ▶ Rising inflation also reduces wealth
- ▶ Rising inflation lowers consumption

Question No: 27 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

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- ▶ Bank
- ▶ Securities firm
- ▶ Stock exchange
- ▶ Insurance company

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ Mutual funds

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-
- ▶ Small corporations
 - ▶ Stock brokers
 - ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 1) - Please choose one

Managing _____ is a major concern for today's banks.

- ▶ Trading risk
- ▶ Interest rate risk
- ▶ Systematic risk

Question No: 30 (Marks: 1) - Please choose one

Which of the following is a combination of auto insurance?

- ▶ Life insurance and property insurance
- ▶ Life insurance and causality insurance
- ▶ Property insurance and casualty insurance

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►Life insurance and saving account

Question No: 31 (Marks: 1) - Please choose one

Which of the following are the primary uses of funds of depositor institution?

- Cash, loans, securities
- Corporate bonds, government bonds, stocks
- Commercial paper, bonds, mortgages
- Mortgages, consumer loans, business loans

Question No: 32 (Marks: 1) - Please choose one

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Why central bank occupies a privileged position in a country?

- It controls the availability of money
- It controls credit in a country's economy
- All of the given options
- It has monopoly on the issuance of currency

Question No: 33 (Marks: 1) - Please choose one

(Regard)

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Which of the following are goals of the Central Bank?

- ▶Price stability
- ▶Stable output growth
- ▶Stable financial system
- ▶All of the above

Question No: 34 (Marks: 1) - Please choose one

Which of the following is NOT a function of the Central Bank?

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- ▶Regulate brokers and insurance companies
- ▶Evaluate bank mergers
- ▶These are all functions of the fed.

Question No: 35 (Marks: 1) - Please choose one

Which of the following can expand the size of the balance sheet of a central bank and the monetary base?

(Regard)

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-
- ▶Open market operations
 - ▶Discounted loans
 - ▶Foreign exchange intervention
 - ▶All of the given options

Question No: 36 (Marks: 1) - Please choose one

Difference between _____ and required reserve is the excess reserves.

- ▶Securities
- ▶Currency
- ▶Reserve

Question No: 37 (Marks: 1) - Please choose one

The withdrawal reduces the banking system's _____, which is a decrease in its assets, and if the funds come from a checking account, there is a matching decrease in liabilities.

(Regard)

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▶Vault cash

▶Securities

▶Reserves

▶Currency

Question No: 38 (Marks: 1) - Please choose one

Required reserve ratio and quantity of money have _____.

▶Direct relation

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▶No relation

▶Incomplete information

Question No: 39 (Marks: 1) - Please choose one

The quantity of money people hold for transaction purposes does NOT depends upon:

▶Nominal income

▶Cost of holding money

(Regard)

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►Availability of substitutes

►Real income

Question No: 40 (Marks: 1) - Please choose one

Higher the level of uncertainty about the future, the higher the demand for money and the _____ the velocity of money.

►Incomplete information

►Lower

►Higher

►Stable

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Question No: 41 (Marks: 1) - Please choose one

Which of the following has a great influence on the aggregate demand?

►Real interest rate

►Nominal interest rate

►Effective interest rate

►None of the given options

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Question No: 42 (Marks: 1) - Please choose one

Which of the following is (are) the factor(s) of aggregate demand?

- ▶ Investment
- ▶ Govt. purchases
- ▶ All of the given options
- ▶ Consumption

Question No: 43 (Marks: 1) - Please choose one

When current inflation raises Monetary policymakers raise the real interest rate, moving along the monetary policy reaction curve

- ▶ Right
- ▶ Left
- ▶ Upward
- ▶ Downward

Question No: 44 (Marks: 1) - Please choose one

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Which of the following is shown by the aggregate demand curve?

- ▶How sensitive current output is to given change in current inflation
- ▶Current output is not sensitive to given change in current inflation
- ▶Current output and current inflation both move in the same direction
- ▶None of the given options

Question No: 45 (Marks: 1) - Please choose one

Which of the following reason(s) can shift the short run aggregate supply curve?

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- ▶Deviation of current output from potential output
- ▶Changes in external factors driving production costs
- ▶When current output is equal to potential out put
- ▶Deviation of current output from potential output and Changes in external factors driving production costs

Question No: 46 (Marks: 1) - Please choose one

Which of the following is determined by the intersection of the aggregate demand curve with the short-run aggregate supply curve?

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▶Short-run equilibrium

▶Long-run equilibrium

▶Both short-run and long-run equilibrium

▶None of the given options

Question No: 47 (Marks: 1) - Please choose one

When current output exceeds potential, the resulting expansionary gap exerts upward pressure on inflation, shifting the short-run aggregate supply curve _____.

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▶Right

▶Left

▶Upward

▶Downward

Question No: 48 (Marks: 1) - Please choose one

Policymakers can shift the aggregate demand curve by shifting their monetary policy reaction curve, but which of the following cannot be shifted by them?

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►Short-run aggregate supply curve

►Long-run aggregate demand curve

►Short-run aggregate demand curve

►None of the given options

Question No: 49 (Marks: 3)

What is the effect of an increase in potential output on inflation and output?

Solution:-

The Effects of an increase in potential Output on Inflation and Output

An increase in potential output shifts the LRAS curve to the right. In the short run,

output, the resulting recessionary gap places downward pressure on inflation and output eventually begin to rise.

Question No: 50 (Marks: 3)

Give an account of different components of aggregate demand?

Solution:-

Aggregate demand is divided into four components:

1. Consumption,
2. Investment,
3. Government purchases,
4. Net exports

(Regard)

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Investment is the most important of the components of aggregate demand that are sensitive to changes in the real interest rate. Consumption and net exports also respond to the real interest rate;

Aggregate Govt.'s Net Demand = Consumption + Investment + Purchases + Exports

Question No: 51 (Marks: 5)

Give brief explanation of the following.

a)What is Target funds rate?

Solution:-

The target federal funds rate is the central bank's primary policy instrument. It is Interest rate charged on overnight loans between banks

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b) How it is controlled?

Solution:-

The central bank chooses to control the federal funds rate by manipulating the quantity of reserves through open market operations: the central bank buys or sells securities to add or drain reserves as required.

c)What will be the impact of target federal rate on economy?

Solution:-

Changes interest rates throughout the economy

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When central bank targets the quantity of reserves, a shift in reserve demand causes the market federal funds rate to move. An increase in reserve demand forces the interest rate up, while a fall in reserve demand forces the interest rate down.

Question No: 52 (Marks: 5)

_____ A
well-designed policy framework helps policymakers establish credibility. Discuss the principles of central bank design.

Solution:-

A well-designed policy framework also helps policymakers establish credibility.

The Principles of Central Bank Design

➤ **Independence:**

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To keep inflation low, monetary decisions must be made free of political influence

➤ **Decision making by committee:**

Pooling the knowledge of a number of people yields better decisions than decision making by an individual

➤ **Accountability and transparency:**

Policy makers must be held accountable to the public they serve and clearly communicate their objectives, decisions and methods

➤ **Policy framework:**

Politicians must clearly state their policy goals and the tradeoffs among them

Question No: 53 (Marks: 5)

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“Monetary policy makers react to changes in current inflation by changing the real interest rate”. Discuss.

Solution:-

Monetary policy makers react to changes in current inflation by changing the real interest rate. Increases in current inflation lead them to raise the real interest rate, while decreases lead them to lower it. The monetary policy reaction curve is located so that the central bank's target inflation is consistent with the long-run real interest rate, which equates aggregate demand with potential output.

When policymakers adjust the real interest rate they are either moving along a fixed monetary policy reaction curve or shifting the curve. A movement along the curve is a reaction to a change in current inflation; a shift in the curve represents a change in the level of the real interest rate at every level of inflation.

FINALTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 2)

Ref No: Time: 90 min

Marks: 69

Student Info	
StudentID:	
Center:	OPKST

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ExamDate:	12 Aug 2010
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Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
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Q No.	17	18	19	20	21	22	23	24	
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Q No.	25	26	27	28	29	30	31	32	
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Marks									
Q No.	49	50	51	52	53				
Marks									

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Question No: 1 (Marks: 1) - Please choose one

_____ If more students didn't pay back their student loans then which of the following statement would imply?

- ▶ Student loans may become more difficult to obtain
- ▶ The interest rate on student loans would increase
- ▶ Fewer people may attend college
- ▶ All of the given options

Question No: 2 (Marks: 1) - Please choose one

_____ If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶ He has money with him
- ▶ He earns income
- ▶ He is wealthy
- ▶ He is not a taxpayer

Question No: 3 (Marks: 1) - Please choose one

_____ A derivative instrument:

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▶Gets its value and payoff from the performance of the underlying instrument

▶Is a high risk financial instrument used by highly risk averse savers

▶Comes into existence after the underlying instrument is in default

▶Should be purchased prior to purchasing the underlying security

Question No: 4 (Marks: 1) - Please choose one

Repurchase agreements are:

▶The most liquid of all money market instruments

▶In use for hundreds of years

▶Loans of deposits at the Federal Reserve

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▶Short term loans with Treasury bills as collateral

Question No: 5 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

▶ $\$100(1.045)^{3/2}$

▶ $\$100(0.45)^{2.5}$

▶ $\$100(1.045)^{2.5}$

▶ $100 \times 2.5 \times (1.045)$

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Question No: 6 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶\$960.60
- ▶\$900.00
- ▶\$1005.00
- ▶\$1000.00

Question No: 7 (Marks: 1) - Please choose one

ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated: If

- ▶Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk
- ▶Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ▶Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ▶Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

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▶ $\$100(1 + i)$

▶ $\$100 / (1 + i)^n$

▶ $\$100 / (1 + i)$

▶ $1 + \$100 / (1 + i)^n$

Question No: 9 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

▶ Price paid / yearly coupon payment

▶ Price paid *yearly coupon payment

▶ Yearly coupon payment / face value of bond

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▶ Yearly coupon payment / price paid

Question No: 10 (Marks: 1) - Please choose one

Which of the following ratings shows “Highest quality and credit worthiness”?

▶ AAA

▶ AA

▶ BB

▶ A

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Question No: 11 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

►Bond tax status and default rate are not the only factors that affect the yield of the two bonds

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 ►Bond A has different yield from that of Bond B because of change in maturity period

►Yields of both the bonds are not disturbed by maturity period

►Yield of Bond B depends on what people expect to happen in years to come

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

►Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

►Taxable bond yield is always greater than tax exempt bond

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-
- ▶Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
 - ▶Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 13 (Marks: 1) - Please choose one

_____ One way for a bank to deal with liquidity risk is _____.

- ▶To hold sufficient excess reserves
- ▶To charge all borrowers from the same industry an average rate for that industry
- ▶To avoid making loans to borrowers from a broad spectrum
- ▶To limit the number of loans made in any year

Question No: 14 (Marks: 1) - Please choose one

_____ An insurance company provides liability insurance to a bakery protecting the owner against claims from customers. One area of coverage is protection against food poisoning claims. The insurance company may periodically send an employee into the bakery to observe food preparation and food storage processes. The insurance company is trying to avoid which of the following?

- ▶Paying claims
- ▶Adverse selection
- ▶Moral hazard
- ▶Transaction cost

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Question No: 15 (Marks: 1) - Please choose one

Regulators of credit unions are which of the following?

- ▶Office of thrift Supervision
- ▶State authorities
- ▶National Credit Union Administration
- ▶Federal Reserve System

Question No: 16 (Marks: 1) - Please choose one

The specific goals of central banks include all of the following **EXCEPT**:
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- ▶High and stable real growth
- ▶Low and stable inflation
- ▶High levels of imports
- ▶Low and stable unemployment rates

Question No: 17 (Marks: 1) - Please choose one

If M = the quantity of money, m the money multiplier, MB the Monetary Base; C =

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Currency, D = Deposits; R = Reserves, RR equals required reserves; and ER = excess reserves; then m would equal:

► M/MB

► R/ER

► C + D

► C + D – ER

Question No: 18 (Marks: 1) - Please choose one

_____ In "gap analysis," the gap is the difference between a bank's _____ and _____.

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► Deposits and loans

► Long-term securities and short-term securities

► Rate-sensitive assets and rate-sensitive liabilities

► Assets and liabilities

Question No: 19 (Marks: 1) - Please choose one

Interest rate charged by the central bank on loans to commercial banks is known as:

► Discount rate

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-
- ▶ Inflation rate
 - ▶ Internal rate of return
 - ▶ All of the given options

Question No: 20 (Marks: 1) - Please choose one

The portfolio demand for money reflects which of the following?

- ▶ The money we hold for our everyday transactions
- ▶ The money we hold to purchase stocks and bonds and other financial securities
- ▶ The portion of wealth people desire to hold in the form of money
- ▶ None of the given option

Question No: 21 (Marks: 1) - Please choose one

Which of the following will not shift Aggregate Supply left?

- ▶ A new cost-reducing production technology
- ▶ A sudden increase in energy prices
- ▶ An increase in the expected price
- ▶ An increase in the wage rate

Question No: 22 (Marks: 1) - Please choose one

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_____ If
over time prices and output both rise, then

- ▶ Aggregate Demand must increase more than long-run supply increases
- ▶ Long-run supply must decrease more than Aggregate Demand increases
- ▶ Aggregate Demand must increase less than long-run supply increases
- ▶ Aggregate Demand must increase as much as long-run supply increases

Question No: 23 (Marks: 1) - Please choose one

When you need more units of money to buy the same amount of good which you bought a month or a year ago. What does it mean?

- ▶ Your economy has a high economic growth rate
- ▶ Your economy's GDP value is more than previous year

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- ▶ Price in your economy is falling causing deflation
- ▶ Price in your economy is raising causing inflation

Question No: 24 (Marks: 1) - Please choose one

Which one of the following statement is true for investment if all other factors are held constant?

- ▶ An investment with less risk should sell for a lower price and offer a lower return
- ▶ An investment with more risk should sell for a lower price and offer a higher return

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►An investment with less risk should sell for a lower price and offer a higher return

►An investment with more risk should offer a lower return and sell for a higher price

Question No: 25 (Marks: 1) - Please choose one

Which of the following is the formula for calculating the ROA (Return on assets)?

►ROA = Net profit before taxes / bank capital

►ROA = Net profit after taxes / total assets

►ROA = Net profit after taxes / bank capital

►ROA = Net profit before taxes / total assets

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Question No: 26 (Marks: 1) - Please choose one

Which of the following is the formula for calculating ROE (Return on equity)?

►ROE = Net profit before taxes / bank capital

►ROE = Net profit after taxes / total assets

►ROE = Net profit after taxes / bank capital

►ROE = Net profit before taxes / total assets

Question No: 27 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

If bank's interest margin is currently improving, what will be its effect on the profitability of the bank?

- ▶ There will be negative effect on the Bank's profitability
- ▶ There will be positive effect on the Bank's profitability
- ▶ There will be no effect on the Bank's profitability
- ▶ It cannot be determined

Question No: 28 (Marks: 1) - Please choose one

How a bank can use liability management to obtain additional funds?

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- ▶ By borrowing from central bank
- ▶ By borrowing from other bank
- ▶ By attracting additional deposits
- ▶ All of the given options

Question No: 29 (Marks: 1) - Please choose one

What kind of risk will involve when loans will not be repaid?

Team is not responsible for any Type of Mistake.

▶Interest-rate risk

▶Credit risk

▶Trading risk

▶Inflation risk

Question No: 30 (Marks: 1) - Please choose one

Which of the following policy is used by the central banks to stabilize economic growth and inflation in a country?

▶Trade policy

▶Fiscal policy

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▶Monetary policy

▶Demand management policy

Question No: 31 (Marks: 1) - Please choose one

Why govt. wants to control the printing of money?

▶To control the amount of currency

▶To control deflation in a country

Team is not responsible for any Type of Mistake.

▶Losing control of the amount of currency means losing control of inflation

▶Tight control of the amount of currency means losing control of inflation

Question No: 32 (Marks: 1) - Please choose one

During the period of _____ the central bank increases the interest rate in order to control the inflation in the economy.

▶Recession

▶Boom

▶Recovery

▶Recession or boom

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Question No: 33 (Marks: 1) - Please choose one

_____ The amount of _____ a bank holds depends on the costs and benefits of holding them.

▶Excess reserves

▶Required reserve

▶Actual reserve

▶None of the given options

Team is not responsible for any Type of Mistake.

Question No: 34 (Marks: 1) - Please choose one

Which of the following are the components of the bank reserves?

- ▶ Deposits of the Government + Currency in the hands of the public
- ▶ Deposits of the Government + deposits at the central bank
- ▶ Currency in the hands of the public + Vault cash
- ▶ Vault cash + deposits at the central bank

Question No: 35 (Marks: 1) - Please choose one

Among the asset side of the balance sheet of a central bank which of the following item represent the function of central bank as Banker's bank?

- ▶ Deposits of the Government
- ▶ Loan to commercial bank
- ▶ Currency
- ▶ Reserves

Question No: 36 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

The withdrawal reduces the banking system's _____, which is a decrease in its assets, and if the funds come from a checking account, there is a matching decrease in liabilities.

- ▶ Vault cash
- ▶ Securities
- ▶ Reserves
- ▶ Currency

Question No: 37 (Marks: 1) - Please choose one

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Which of the following situation reduce(s) the impact of a given change in reserves on the total deposits in the system?

- ▶ The desire of a bank to hold excess reserves
- ▶ The desire of account holders to withdraw cash
- ▶ The desire of a bank to hold excess reserves and the desire of account holders to withdraw cash both
- ▶ None of the given options

Team is not responsible for any Type of Mistake.

Question No: 38 (Marks: 1) - Please choose one

Reserve equation can be expressed as:

- ▶ Reserves = required reserve + excess reserve
- ▶ Reserves = required reserve - excess reserve
- ▶ Reserves = required reserve / excess reserve
- ▶ Reserves = (required reserve) x (excess reserve)

Question No: 39 (Marks: 1) - Please choose one

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With the velocity growth of 2% and money growth of 3.5%, equation of exchange tells us that policy makers should set inflation objective of 3%, according to this equation what would be the real growth?

- ▶ 8%
- ▶ 4%
- ▶ 2.5%
- ▶ 1%

Team is not responsible for any Type of Mistake.

Question No: 40 (Marks: 1) - Please choose one

The lower the cost of shifting money between accounts, the lower the money holdings and the _____ the velocity.

- ▶ Lower
- ▶ Higher
- ▶ Stable
- ▶ Incomplete information

Higher the level of uncertainty about the future, the higher the demand for money and the _____ the velocity of money.

- ▶ Incomplete information
- ▶ Lower
- ▶ Higher
- ▶ Stable

Question No: 42 (Marks: 1) - Please choose one

Team is not responsible for any .

Which of the following is (are) the factor(s) of aggregate demand?

- ▶ Investment
- ▶ Govt. purchases
- ▶ All of the given options
- ▶ Consumption

Question No: 43 (Marks: 1) - Please choose one

When current inflation is high or current output is running above potential output, central bankers will _____ nominal interest rates.

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- ▶ Raise
- ▶ Fall
- ▶ Stabilize
- ▶ Incomplete information

Question No: 44 (Marks: 1) - Please choose one

_____ The monetary policy reaction curve is set so that when current inflation equals target inflation, the _____ equals the long-run real interest rate.

Team is not responsible for any Type of Mistake.

►Real interest rate

►Nominal interest rate

►Effective interest rate

►None of the given options

Question No: 45 (Marks: 1) - Please choose one

Monetary policy makers react to changes in current inflation by changing the

►None of the given options

►Nominal interest rate

►Real interest rate

Question No: 46 (Marks: 1) - Please choose one

_____ If policymakers react aggressively to a movement of current inflation away from its target level with a large change in the real interest rate, the monetary policy reaction curve will be _____ and the aggregate demand curve is _____.

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▶ Steep, flat

▶ Flat, steep

▶ Flat, flat

▶ Steep, steep

Question No: 47 (Marks: 1) - Please choose one

Which of the following reason(s) can shift the short run aggregate supply curve?

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▶ Changes in external factors driving production costs

▶ When current output is equal to potential out put

▶ Deviation of current output from potential output and Changes in external factors driving production costs

Question No: 48 (Marks: 1) - Please choose one

Real business cycle theory's assumption that prices and wages are flexible implies that:

Team is not responsible for any Type of Mistake.

-
- ▶ Short-run aggregate demand curve is irrelevant
 - ▶ Long-run aggregate demand curve is irrelevant
 - ▶ Short-run aggregate supply curve is irrelevant
 - ▶ Long-run aggregate supply curve is irrelevant

Question No: 49 (Marks: 3)

What are the factors that affect the quantity of money?

Question No: 50 (Marks: 3)

Discuss the impact of rise in real interest rate on the component of aggregates demand.

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Components of Aggregate demand	Effects of a rise in the real interest rise	Impact on the component of Aggregate demand
Consumption		
Investment		
Net exports		

Question No: 51 (Marks: 5)

Team is not responsible for any Type of Mistake.

Discuss the impact of inflation shock on output and inflation.

Question No: 52 (Marks: 5)

Write down the unique role of depository institutions.

Question No: 53 (Marks: 5)

Which relationship is shown by the monetary policy reaction curve?

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What will be the change in monetary policy reaction curve if the given factors change?

- a. An increase in the Central Bank's Inflation Target
- b. An increase in the Long-run real interest rate

FINALTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session – 4)

Team is not responsible for any Type of Mistake.

Question No: 1 (Marks: 1) - Please choose one

_____ If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶He has money with him
- ▶He earns income
- ▶He is wealthy
- ▶He is not a taxpayer

Question No: 2 (Marks: 1) - Please choose one

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_____ Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶It is the only mode of payment
- ▶It is an asset
- ▶It is most liquid
- ▶It is the only store of value

Question No: 3 (Marks: 1) - Please choose one

_____ In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

Team is not responsible for any Type of Mistake.

-
- ▶Fedex
 - ▶Fedwire
 - ▶Fedtransfer
 - ▶Fedmoney

Question No: 4 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

- ▶Debit card is operated by ATM machine while Store value card doesn't
- ▶Debit card appearance is different from Store value card
- ▶Debit card is not specific for user but store value card is specific
- ▶Debit card is specific for user but store value card is not

Question No: 5 (Marks: 1) - Please choose one

money is really a form of which one of the following? E

- ▶Paper money
 - ▶Fiat money
 - ▶Government money
 - ▶Private money
-

Team is not responsible for any Type of Mistake.

Question No: 6 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶Creates a net cost to an economy but is unavoidable
- ▶Is used primarily in underdeveloped countries
- ▶Is always used when a borrower needs to obtain funds
- ▶Increases the economy's ability to produce

Question No: 7 (Marks: 1) - Please choose one

receive a check for \$100 two years from today. The discounted present value of this \$100 is:

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- ▶ $\$100/(1+i)$
- ▶ $\$100 \cdot (1+i)^2$
- ▶ $\$100 \cdot (1+i)$
- ▶ $\$100/(1+i)^2$

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is correct?

- ▶Higher the future value of payment shorter will be the time
-

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-
- ▶Lower the future value of payment the longer will be the time
 - ▶Lower the future value of payment the shorter will be the time
 - ▶Higher the future value of payment longer will be the time

Question No: 9 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶Bank A
- ▶Bank B
- ▶Indifferent between Bank A and Bank B
- ▶Insufficient information

Question No: 10 (Marks: 1) - Please choose one

_____ If
YTM is greater than the coupon rate the price of the bond is _____.

- ▶Greater than its face value
- ▶Lower than its face value
- ▶Equals to its face value
- ▶Insufficient information is given

Question No: 11 (Marks: 1) - Please choose one

_____ Mr.
Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ▶He is attracted by Rs.100 return per month
- ▶He considers Rs.100 less deduction for tax i.e.Rs.97
- ▶He takes into consideration only the portion of tax which is deducted
- ▶His decision will not be affected by any of the given factors

Question No: 12 (Marks: 1) - Please choose one

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Dividend-Discount Model of stock valuation:

- ▶Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price
- ▶Takes the net present value of expected dividends and add it to the future sale price of the stock
- ▶Takes the net present value of the expected future price of the stock and add the annual dividend
- ▶Is an application of the net present value formula

Question No: 13 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

A
bank can usually offer a saver a higher return for the same risk because:

- ▶The bank can usually purchase assets at a higher cost than any one saver
- ▶The bank can pool the resources of larger savers and purchase lower denominated assets
- ▶Economies of scale can be applied by the bank in its purchase of assets
- ▶None of the given options

Question No: 14 (Marks: 1) - Please choose one

Which of the following represents correct equation for balance sheet of the bank?

- ▶Total banks assets = Total banking liability + Banks Capital
- ▶Total banks assets + Banks Capital = Total banking liability
- ▶Total banks assets + Banks Capital + Total banking liability = 0
- ▶Banks Capital = Total banking liability + Total banks assets

Question No: 15 (Marks: 1) - Please choose one

Which of the following is correct answer for the difference between Bank assets and liabilities?

- ▶Bank Capital

Team is not responsible for any Type of Mistake.

-
- ▶Net worth
 - ▶Bank profit
 - ▶Bank capital and net worth

Question No: 16 (Marks: 1) - Please choose one

_____ A
bank's Return on Equity is calculated by which of the following?

- ▶Dividing the banks liabilities by the bank's capital
- ▶Dividing the bank's net profit after taxes by the bank's capital

▶

capital

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▶Dividing the bank's net profit after taxes by the sum of the bank's assets and its liabilities

Question No: 17 (Marks: 1) - Please choose one

_____ Securities firms include _____.

- ▶Brokerage firms
 - ▶Investment banks
 - ▶Mutual fund companies
-

Team is not responsible for any Type of Mistake.

►All of the given options

Question No: 18 (Marks: 1) - Please choose one

Monetary policy is under the control of which of the following in case of U.S.?

- The Federal Reserve
- The President
- The U. S. Treasury
- The U.S. Senate

The specific goals of central banks include all of the following **EXCEPT**:

- High and stable real growth
- Low and stable inflation
- High levels of imports
- Low and stable unemployment rates

Question No: 20 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

_____ To
use money growth as a short term monetary policy instrument, a central bank must
believe that _____.

- ▶ Deposit expansion multiplier is volatile and unpredictable
- ▶ Only money matters
- ▶ There is an unpredictable relationship between money aggregates and inflation
- ▶ There is some stable link between the monetary base and the money aggregates

Question No: 21 (Marks: 1) - Please choose one

Credit risk arises as a result of which one of the following consequences?

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- ▶ It arises when loan is not repaid
- ▶ It arises because of sudden demands of funds
- ▶ It arises when two sides of the balance sheet do not match up
- ▶ It arises when banks make additional profit by using derivatives

Question No: 22 (Marks: 1) - Please choose one

American Bank actively manages a large portfolio of bonds. It trades to enhance the portfolio's profitability. Which of the following risk American Bank would face most probably?

- ▶ Market risk

Team is not responsible for any Type of Mistake.

-
- ▶Operational risk
 - ▶Technology risk
 - ▶Insolvency risk

Question No: 23 (Marks: 1) - Please choose one

Monetary Base is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶Central bank
- ▶Bank regulators
- ▶Commercial banks
- ▶Non bank public

Question No: 24 (Marks: 1) - Please choose one

_____ The real purchasing power of money in circulation is expressed as which of the following?

- ▶ $MV \cdot PY$
- ▶ M/P
- ▶ PY
- ▶ M/Y

Question No: 25 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

According to the modern quantity theory, changes in aggregate spending are primarily due to:

- ▶Consumption changes
- ▶Investment changes
- ▶Money supply changes
- ▶Interest rate changes

Question No: 26 (Marks: 1) - Please choose one

According to real business cycle theory, aggregate economic fluctuations are caused by changes in:

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- ▶The money supply
- ▶Fiscal policy
- ▶High unemployment
- ▶The natural rate level of output

Question No: 27 (Marks: 1) - Please choose one

Spreading involves:

- ▶Finding assets whose returns are perfectly negatively correlated
- ▶Building a portfolio of assets whose returns move together

Team is not responsible for any Type of Mistake.

-
- ▶ Investing in bonds and avoiding stocks during bad times
 - ▶ Adding assets to a portfolio that moves independently

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is true about relationship between Loans and Assets?

- ▶ Loans make up about one-third of total assets.
- ▶ Loans make-up about one-half of total assets.
- ▶ Loans make up about two-thirds of total assets.

Question No: 29 (Marks: 1) - Please choose one

How a bank can use liability management to obtain additional funds?

- ▶ By borrowing from central bank
 - ▶ By borrowing from other bank
 - ▶ By attracting additional deposits
 - ▶ All of the given options
-

Team is not responsible for any Type of Mistake.

Question No: 30 (Marks: 1) - Please choose one

_____degrades the information content of prices and impedes the market's function of allocating resources to their best uses.

- ▶Inflation
- ▶Deflation
- ▶Zero inflation
- ▶None of the given options

Question No: 31 (Marks: 1) - Please choose one

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Which of the following are goals of the Central Bank?

- ▶Low, stable inflation
- ▶Predictable value of the currency
- ▶Avoiding deflation
- ▶All of the above

Question No: 32 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Which of the following is NOT a function of the Central Bank?

- ▶Conduct economic research
- ▶Adjust tax policy
- ▶Control the money supply
- ▶All of these are the functions of the Central Bank

Question No: 33 (Marks: 1) - Please choose one

“Policy makers must be held accountable to the public they serve and clearly

principle of central bank design?

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- ▶Decision making by committee
- ▶Accountability and transparency
- ▶Policy framework
- ▶Independence

Question No: 34 (Marks: 1) - Please choose one

Which of the following are the components of the monetary base?

Team is not responsible for any Type of Mistake.

-
- ▶Currency in the hands of the public and reserves of the banking system
 - ▶Deposits of the government and currency in the hands of the public
 - ▶Deposits of the government and reserves of the banking system
 - ▶Loan to commercial bank and currency in the hands of the public

Question No: 35 (Marks: 1) - Please choose one

What is (are) the prerequisite of smooth functioning of central bank?

▶Transparency

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▶Accountability

▶All of the given options

Question No: 36 (Marks: 1) - Please choose one

Monetary base and quantity of money have_____

▶Direct relation

▶Inverse relation

Team is not responsible for any Type of Mistake.

▶No relation

▶Incomplete information

Question No: 37 (Marks: 1) - Please choose one

Banks may seek _____ due to a temporary shortfall in reserves or because they have longer-term problems that they need to work out.

▶Primary credit

▶Secondary credit

▶Seasonal credit

▶All of the given options

Question No: 38 (Marks: 1) - Please choose one

_____ If we label the quantity of money M and the monetary base MB , the money multiplier m is defined by which of the following relationship?

▶ $M = m \times MB$

▶ $M = m / MB$

▶ $M = m - MB$

▶ $M = m + MB$

Team is not responsible for any Type of Mistake.

Question No: 39 (Marks: 1) - Please choose one

According to the Friedman's recommendations, how central bank would stabilize inflation?

- ▶By keeping money growth constant only if velocity were constant
- ▶By keeping money growth lower only if velocity were lower
- ▶By keeping money growth higher only if velocity were higher
- ▶By keeping money growth higher only if velocity were lower

Question No: 40 (Marks: 1) - Please choose one

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Higher the level of uncertainty about the future, the higher the demand for money and the _____ the velocity of money.

- ▶Incomplete information
- ▶Lower
- ▶Higher
- ▶Stable

Question No: 41 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Portfolio demand for money goes up as the riskiness of the alternative _____

- ▶ Falls
- ▶ Rises
- ▶ Remain stable
- ▶ Cannot be determined

Question No: 42 (Marks: 1) - Please choose one

Portfolio demand for money goes up as wealth _____

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- ▶ Falls
- ▶ Rises
- ▶ Remain stable
- ▶ Cannot be determined

Question No: 43 (Marks: 1) - Please choose one

There must be some level of the _____ at which aggregate demand equals potential output.

Team is not responsible for any Type of Mistake.

-
- ▶Real interest rate
 - ▶Nominal interest rate
 - ▶Effective interest rate
 - ▶None of the given options

Question No: 44 (Marks: 1) - Please choose one

_____ The monetary policy reaction curve is located so that the central bank's target inflation is consistent with the long-run _____, which equates aggregate demand with potential output.

- ▶Real interest rate
- ▶Nominal interest rate
- ▶Effective interest rate
- ▶None of the given options

Question No: 45 (Marks: 1) - Please choose one

_____ What will be effect on the aggregate demand curve, if current output is very sensitive to inflation?

-
- ▶Aggregate demand curve will be relatively steep
 - ▶Aggregate demand curve will be relatively flat
 - ▶Aggregate demand curve will be downward sloping
 - ▶Aggregate demand curve will be relatively upward sloping

Question No: 46 (Marks: 1) - Please choose one

If inflation remains steady over shorter periods, while real output adjusts, what will be its effect on the short run aggregate supply curve at the current level of inflation?

- ▶Aggregate supply curve must be steep
- ▶Aggregate supply curve must be downward sloping
- ▶Aggregate supply curve must be upward sloping

Question No: 47 (Marks: 1) - Please choose one

In which of the following condition(s) the inflation tends to rise or fall?

- ▶When current output is greater than potential output

-
- ▶When current output is less than potential output
 - ▶When there is an output gap
 - ▶All of the given options

Question No: 48 (Marks: 1) - Please choose one

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

- ▶Equals
- ▶Greater than
- ▶Lower than
- ▶Incomplete information

Question No: 49 (Marks: 3)

What are the factors on which the size of money multiplier depends?

Question No: 50 (Marks: 3)

What is the effect of an increase in potential output on inflation and output?

Team is not responsible for any Type of Mistake.

Question No: 51 (Marks: 5)

“Central bank can stabilize the economy”. Discuss.

Question No: 52 (Marks: 5)

Fill in the required table for the factors affecting the quantity of money (M).

Factors	Who controls it	Change	Impact on quantity of money (M)
Monetary Base	?	Increase	Increase
Required reserve-to-ratio	?	Increase	?
Excess ratio to deposit ratio	?	Increase	Decrease
Currency to deposit ratio	?	Increase	?

Question No: 53 (Marks: 5)

Briefly explain the reasons that why the government gets involved in the financial system.

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FINALTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session – 4

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Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ Financial instruments
- ▶ Financial institutions
- ▶ **Banks**

Question No: 2 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶It is the only mode of payment
- ▶It is an asset
- ▶It is most liquid
- ▶It is the only store of value

Question No: 3 (Marks: 1) - Please choose one

Banks use to handle transactions among themselves, through which one of the following?

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- ▶Debit card
- ▶Electronic transfers
- ▶Credit card
- ▶Store value card

Question No: 4 (Marks: 1) - Please choose one

Economists study the link between money and inflation because:

- ▶Research shows that there is some inverse correlation between the supply of money and inflation

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►Economists believe that inflation in the 3-5% range is healthy for an economy

►As prices increase money becomes more valuable

►Research shows that there is some direct correlation between the supply of money and inflation

Question No: 5 (Marks: 1) - Please choose one

The loans made between borrowers and lenders:

►Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds

►Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders

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►Are assets to the lenders and liabilities of the borrowers since the promises are made to the borrowers as he has to pay it

►Are not part of either's assets or liabilities until the loans are repaid

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is **NOT** primarily used as store of value?

►Banks loans

►Asset-backed securities

►Insurance contracts

Team is not responsible for any Type of Mistake.

►Stocks

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- New York Stock Exchange
- NASDAQ
- Large exchanges in London
- Large exchanges in Tokyo

Question No: 8 (Marks: 1) - Please choose one

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Which of the following market allowed networks of dealers that are connected electronically?

- New York Stock Exchange
- NASDAQ
- Large exchanges in London
- Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

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-
- ▶Market interest rate the same as the coupon rate
 - ▶Market interest rates above the coupon rate
 - ▶Market interest rates below the coupon rate
 - ▶None of the given options

Question No: 10 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

▶Bank A

▶Bank B

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- ▶Indifferent between Bank A and Bank B
- ▶Insufficient information

Question No: 11 (Marks: 1) - Please choose one

_____ The default premium:

- ▶Is positive for a U.S. Treasury bond
- ▶Must always be less than 0 (zero)
- ▶Is also known as the risk spread

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-
- ▶ Is assigned by a bond rating agency

Question No: 12 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ **Allows the holder to share in the earnings of the firm**

Question No: 13 (Marks: 1) - Please choose one

Changed with the DEMO VERSION of CAD-KAS PDF-Editor (<http://www.cadkas.com>). If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ The current dividend divided by the interest rate less the dividend growth rate
- ▶ **The annual growth rate of the dividend minus the interest rate divided by the current dividend**
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 14 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Which of the following is correct answer for the difference between Bank assets and liabilities?

- ▶ Bank Capital
- ▶ Net worth
- ▶ **Bank profit**
- ▶ Bank capital and net worth

Question No: 15 (Marks: 1) - Please choose one

Which of the following does not include in the bank's reserves?

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- ▶ **Treasury bills**
- ▶ Currency in the bank
- ▶ Bank's deposits at the Federal Reserves
- ▶ Currency in ATM machines

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a Depository institution?

Team is not responsible for any Type of Mistake.

-
- ▶Commercial bank
 - ▶Savings institution
 - ▶Credit union
 - ▶All of the given options

Question No: 17 (Marks: 1) - Please choose one

_____ One way for a bank to deal with liquidity risk is _____.

- ▶To hold sufficient excess reserves
- ▶To charge all borrowers from the same industry an average rate for that industry
- ▶To avoid making loans to borrowers from a broad spectrum
- ▶To limit the number of loans made in any year

Question No: 18 (Marks: 1) - Please choose one

_____ Which of the following is the primary source of funds for Depository institutions?

- ▶Short term loans
 - ▶Shares sold to customers
 - ▶Savings and time deposits
-

Team is not responsible for any Type of Mistake.

▶Commercial papers

Question No: 19 (Marks: 1) - Please choose one

House Building Finance Corporation (HBFC) is:

- ▶A Finance company
- ▶A Securities firm
- ▶A Government sponsored enterprise
- ▶An insurance company

Question No: 20 (Marks: 1) - Please choose one

Changed with the DEMO VERSION of CAD-KAS PDF-Editor (<http://www.cadkas.com>). _____ A
central bank's balance sheet would categorize each of the following as liabilities
EXCEPT:

- ▶Currency
- ▶Gold
- ▶Reserves
- ▶Accounts of the commercial banks

Question No: 21 (Marks: 1) - Please choose one

_____ A
bank can make new loans as long as it has:

Team is not responsible for any Type of Mistake.

-
- ▶ Excess reserves
 - ▶ Required reserves
 - ▶ Correspondent reserves
 - ▶ Capital

Question No: 22 (Marks: 1) - Please choose one

Which of the following statement is true regarding monetary policy tools?

- ▶ The Fed currently uses a quantity tool for monetary policy
- ▶ The required reserve rate is the most easily observable tool
- ▶ The federal funds rate is not the best tool because it fails the controllability test of a good monetary policy tool.
- ▶ The central banks cannot set a quantity and a price tool simultaneously

Question No: 23 (Marks: 1) - Please choose one

Fraction of deposits that banks must keep either on deposit at the central bank or as cash in their vaults is known as:

- ▶ Target federal funds rate
 - ▶ Discount rate
 - ▶ Reserve requirement
-

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▶None of the given options

Question No: 24 (Marks: 1) - Please choose one

A
rate of inflation that is less than the growth rate of money for a country could be explained by which one of the following?

- ▶A decreasing velocity of money
- ▶A contracting real economy
- ▶A constant velocity of money
- ▶A increasing velocity of money

Question No: 25 (Marks: 1) - Please choose one

The
idea that central banks should be independent of political pressure is an idea that:

- ▶Is included in Federal Reserve Act in 1913
- ▶Is relatively new
- ▶Every central bank was founded upon
- ▶Became quite popular in the early 1900's

Question No: 26 (Marks: 1) - Please choose one

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Discount lending includes in the Federal's function of _____.

- ▶Open market operations
- ▶Lender of last resort
- ▶The government bank
- ▶Open market operation and the government bank

Question No: 27 (Marks: 1) - Please choose one

Which of the following statements is most appropriate?

▶Over the last 10 years the deviations between the target and market federal funds rate have decreased

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▶The market federal funds rate equals the target federal funds rate

▶Over the last 10 years the deviations between the target and market federal funds rate have increased

▶There doesn't appear to be any relationship at all between the target and market federal fund rates

Question No: 28 (Marks: 1) - Please choose one

_____ The self-correcting mechanism of the economy explains why_____?

- ▶Fiscal policy cannot increase aggregate demand in the short run
 - ▶The natural rate of output changes to eliminate unemployment
-

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-
- ▶ Wages and prices adjust to return the economy to full employment
 - ▶ The economy will not sustain inflation

Question No: 29 (Marks: 1) - Please choose one

Home loan and car loan are the examples of which one of the following?

- ▶ Mortgage loan
- ▶ Pledge
- ▶ Fixed Payment Loan
- ▶ Ordinary loan

Gap analysis highlights the gap or difference between which of the following?

- ▶ Difference between the total assets and the total liabilities
- ▶ Yield on the long term loans and the yield on short loans
- ▶ Interest payment on the fixed deposits and interest payment on saving deposits
- ▶ Yield on interest sensitive assets and yield on interest sensitive liabilities

Question No: 31 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

_____ risk arises from the fact that some foreign borrowers may not repay their loans, not because they are willing to, but because their govt. prohibit them from doing so.

- ▶ Foreign exchange risk
- ▶ **Sovereign risk**
- ▶ Interest-rate risk
- ▶ Trading risk

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a combination of auto insurance?

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- ▶ Life insurance and property insurance
- ▶ Life insurance and causality insurance
- ▶ **Property insurance and casualty insurance**
- ▶ Life insurance and saving account

Question No: 33 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Which of the following is included in the government-sponsored enterprise?

- ▶ Small and Medium Enterprise (SME)
- ▶ House Building Finance Corporation (HBFC)
- ▶ Khushhali Bank
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

Which of the following is the most important part of a bank examination?

- Changed with the DEMO VERSION of CAD-KAS PDF-Editor (<http://www.cadkas.com>).
- ▶ To examine past-due loans
 - ▶ To examine the long term loans
 - ▶ To examine the liquidity of the banks
 - ▶ To examine the management of the bank

Question No: 35 (Marks: 1) - Please choose one

Which of the following policy is used by the central banks to stabilize economic growth and inflation in a country?

- ▶ Trade policy
-

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-
- ▶Fiscal policy
 - ▶Monetary policy
 - ▶Demand management policy

Question No: 36 (Marks: 1) - Please choose one

The job of the central bank is to improve general economic welfare by managing and reducing_____.

- ▶Trading risk
- ▶Inflation risk
- ▶Systematic risk
- ▶Non-systematic risk

Question No: 37 (Marks: 1) - Please choose one

Which of the following are functions of a central bank?

- ▶Regulating banks
 - ▶Clearing checks
 - ▶Acting as lender of last resort
 - ▶All of the above
-

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Question No: 38 (Marks: 1) - Please choose one

Fluctuations in velocity are tied to changes in people's desire to hold money and so in order to understand and predict changes in velocity; what policymakers must understand?

- ▶ Demand for money
- ▶ Supply of money
- ▶ Demand and supply of money
- ▶ None of the given options

Question No: 39 (Marks: 1) - Please choose one

_____ the nominal interest rate, the less money individuals will hold for a given level of transactions, and higher the velocity of money.

- ▶ Lower
- ▶ Higher
- ▶ Stable

►Incomplete information

Question No: 40 (Marks: 1) - Please choose one

Which of the following is/are the determinant(s) of money demand that cause individuals to hold more money?

- National income
- Interest rate
- Availability of alternative means of payment
- All of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is (are) the factor(s) of aggregate demand?

- Investment
- Govt. purchases
- All of the given options
- Consumption

Question No: 42 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Monetary policy makers react to changes in current inflation by changing the

- ▶Effective interest rate
- ▶None of the given options
- ▶Nominal interest rate
- ▶Real interest rate

Question No: 43 (Marks: 1) - Please choose one

_____ In response to changes in either the long run real interest rate or the central bank's inflation target. An increase in the long run real interest rate shifts the curve to the left. An increase in the inflation target shifts the curve to the _____.

- ▶Right
- ▶Left
- ▶Upward
- ▶Downward

Question No: 44 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Which of the following is shown by the aggregate demand curve?

- ▶How sensitive current output is to given change in current inflation
- ▶Current output is not sensitive to given change in current inflation
- ▶Current output and current inflation both move in the same direction
- ▶None of the given options

Question No: 45 (Marks: 1) - Please choose one

_____ If policymakers react aggressively to a movement of current inflation away from its target level with a large change in the real interest rate, the monetary policy reaction curve will be _____ and the aggregate demand curve is _____.

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- ▶Steep, flat
- ▶Flat, steep
- ▶Flat, flat
- ▶Steep, steep

Question No: 46 (Marks: 1) - Please choose one

_____ Rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports _____ and net exports _____.

Team is not responsible for any Type of Mistake.

-
- ▶Up, down
 - ▶Down, up
 - ▶Down, down
 - ▶Up, up

Question No: 47 (Marks: 1) - Please choose one

_____ In which of the following situation part of the economy's capacity is idle, and firms tend to raise their prices and wages less than they did when current output equaled potential output?

- ▶When current output is below potential output
- ▶When current output is exceeds potential output
- ▶When current output equals potential output
- ▶None of the given options

Question No: 48 (Marks: 1) - Please choose one

_____ A decline in aggregate demand causes a temporary decline in which of the following?

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-
- ▶Out put
 - ▶Inflation
 - ▶Both output and inflation
 - ▶Incomplete information

Question No: 49 (Marks: 3)

What are the factors on which the size of money multiplier depends?

Question No: 50 (Marks: 3)

What is the effect of an increase in potential output on inflation and output?

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Question No: 51 (Marks: 5)

Differentiate between solvency and illiquidity.

Ans

a. Solvency. It is the ability of a corporation to meet its long term fixed expanses and to accomplish long-term expansion and growth. The better a company's solvency the better it is financially. When company is insolvent, it means that it can no longer operate and is undergoing bankruptcy.

b. Illiquidity. It means the total capital, not readily convertible to cash.

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Question No: 52 (Marks: 5)

“Monetary policy makers react to changes in current inflation by changing the real interest rate”. Discuss.

The monetary policy makers react to changes in current inflation by manipulating real interest rates. This is done to keep check on the ongoing inflation. This results in better investments, spending and consumption. Aggregate demand and supply keep moving in the desired direction though not ideal.

Question No: 53 (Marks: 5)

How in the long run current output equals potential output?

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FINALTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 4)

Ref No: 1451629

Time: 90 min

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Marks: 69



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Question No: 1 (Marks: 1) - Please choose one

Among the following reasons, which is the most appropriate cause of inefficiency of the barter system over monetary system?

- ▶ Barter system involves commodities
- ▶ **Barter system involves double coincidence of wants**
- ▶ Barter system lacks a system for future payments
- ▶ Barter system lacks a system for storage of value

Question No: 2 (Marks: 1) - Please choose one

Financial intermediary. A

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 3 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
-

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-
- ▶ Is used primarily in underdeveloped countries
 - ▶ **Is always used when a borrower needs to obtain funds**
 - ▶ Increases the economy's ability to produce

Question No: 4 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ Information asymmetry
- ▶ **Transaction costs**
- ▶ All of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 6 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

_____ If
you put \$1,000 per year into bank at 4% interest, how much would you have saved after
40 years?

▶\$90,000

▶\$98,826

▶**\$82,286**

▶\$85,880

Question No: 7 (Marks: 1) - Please choose one

_____ The
relationship between the price and the interest rate for a zero coupon bond is best
described as _____.

▶Volatile

▶Stable

▶**Inverse**

▶No relationship

Question No: 8 (Marks: 1) - Please choose one

_____ If
the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

▶\$94.00

▶**\$94.33**

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▶\$95.25

▶\$96.10

Question No: 9 (Marks: 1) - Please choose one

Which of the following would probably **NOT** earn an A rating from Standard & Poor's:

▶30 years bond issued by the U.S. Treasury

▶**New vegetarian fast-food chain**

▶90 days T-Bills issued by the U.S. Treasury

▶Both 30 years bond and 90 days T-Bills issued by U.S. Treasury

Expectation hypothesis focuses on which one of the following?

▶Risk premium

▶**Risk free interest rate**

▶Yield to maturity

▶None of the given options

Question No: 11 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

Other things remaining equal, the liquidity premium theory is based upon the idea that

► **Investors prefer long-term bonds**

► Investors prefer short-term bonds

► Investors are indifferent between short-term and long-term bonds

► Investors prefer intermediate-term bonds

Question No: 12 (Marks: 1) - Please choose one

The shape of the yield curve is usually:

► **Upward sloping**

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► Downward sloping

► Upward sloping for shorter maturities and downward sloping for longer maturities

► Flat

Question No: 13 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

► Are short term debt instruments

► Entitle the holder to contractual payments

► Were poor investments over the period 1982-1996

Team is not responsible for any Type of Mistake.

► **Allows the holder to share in the earnings of the firm**

Question No: 14 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

- An inefficient allocation of resources
- **Stock market crashes**
- Patterns of volatile returns from the stock market
- All of the given options

Question No: 15 (Marks: 1) - Please choose one

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Which of the following represents correct equation for balance sheet of the bank?

- Total banks assets = Total banking liability + Banks Capital
- Total banks assets + Banks Capital = Total banking liability
- Total banks assets + Banks Capital + Total banking liability = 0
- **Banks Capital = Total banking liability + Total banks assets**

Question No: 16 (Marks: 1) - Please choose one

stand by letter of credit is a form of: A

Team is not responsible for any Type of Mistake.

▶Loan

▶**Insurance**

▶Security

▶Deposits

Question No: 17 (Marks: 1) - Please choose one

The difference between a bank's reserves and their required reserves is equal to which of the following?

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▶Equity

▶**Excess reserves**

▶Net interest income

▶None of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the primary source of funds for Depository institutions?

▶Short term loans

Team is not responsible for any Type of Mistake.

-
- ▶ Shares sold to customers
 - ▶ **Savings and time deposits**
 - ▶ Commercial papers

Question No: 19 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- ▶ **Underwriting process**
- ▶ Insurance process
- ▶ Research process
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

All of the followings are the primary source of funds for Government sponsored Enterprise **EXCEPT?**

- ▶ **Commercial paper**
- ▶ Bonds
- ▶ Loan guarantees
- ▶ Policy benefits to be paid out to future retirees

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Question No: 21 (Marks: 1) - Please choose one

_____ The "trade off" which can impact bank's likelihood of failure is described as:

- ▶ The larger the bank in asset size the more likely it will fail
- ▶ The more competitive the banking environment, the more likely the bank will fail
- ▶ **The more profitable the bank, the less liquid the bank will be and the more likely it will fail**
- ▶ The greater the regulation from government the more likely the bank will fail

Question No: 22 (Marks: 1) - Please choose one

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Khusman bank is.

- ▶ A Finance company
- ▶ A Securities firm
- ▶ **A Government sponsored enterprise**
- ▶ An insurance company

Question No: 23 (Marks: 1) - Please choose one

_____ is the strategy of buying and selling government securities:

- ▶ **Open market operations**
-

Team is not responsible for any Type of Mistake.

-
- ▶ Reserve requirement
 - ▶ Discount loans
 - ▶ Cash withdrawal

Question No: 24 (Marks: 1) - Please choose one

Instruments that the central bank controls directly are known as:

- ▶ Operating instruments
- ▶ Intermediate instruments
- ▶ **Financial instruments**

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Question No: 25 (Marks: 1) - Please choose one

Which one of the following is extended usually overnight to sound institutions on a very short-term basis?

- ▶ **Primary credit**
 - ▶ Secondary credit
 - ▶ Seasonal credit
 - ▶ All of the given options
-

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Question No: 26 (Marks: 1) - Please choose one

Inflation in the long run would be determined by which one of the following?

- ▶The exchange rate
- ▶Aggregate demand
- ▶**The rate of money growth**
- ▶Aggregate supply

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is vertical at the point where current output equals potential output?

- ▶**Short run aggregate supply curve**
- ▶Aggregate demand curve
- ▶Long run aggregate supply curve
- ▶Monetary policy reaction curve

Question No: 28 (Marks: 1) - Please choose one

Interest rate risk arises as a result of which one of the following consequences?

Team is not responsible for any Type of Mistake.

-
- ▶It arises when banks make additional profit by using derivatives
 - ▶It arises when loan is not repaid
 - ▶It arises because of sudden demands of funds
 - ▶**It arises when two sides of the balance sheet do not match up**

Question No: 29 (Marks: 1) - Please choose one

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶Central bank
- ▶Bank regulators
- ▶**Commercial banks**
- ▶Non bank public

Question No: 30 (Marks: 1) - Please choose one

The Fed was reluctant to make discount loans because of which one of the following reason?

- ▶Beacause it was a destabilizing force for financial markets
- ▶Beacause it resulted in banks in poor financial standing
- ▶**Beacause it pushed the discount rate above the target federal funds rate**

►Beacause it proved to be a very stabilizing force for financial markets

Question No: 31 (Marks: 1) - Please choose one

Monetary Base is a factor that affects the quantity of money. This factor is controlled by which of the following?

- Central bank**
- Bank regulators
- Commercial banks
- Non bank public

Question No: 32 (Marks: 1) - Please choose one

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Inflation in the long run would be determined by which one of the following?

- The exchange rate
- Aggregate demand
- The rate of money growth**
- Aggregate supply

Question No: 33 (Marks: 1) - Please choose one

Complete crowding-out will occur if:

Team is not responsible for any Type of Mistake.

-
- ▶The money supply rises when Government purchases increases
 - ▶An increase in Government purchases does not change Consumption
 - ▶Taxes rise when Government purchases increases

▶An increase in Government purchases causes an equal fall in Consumption, Investment, and Net Exports

Question No: 34 (Marks: 1) - Please choose one

Bank can borrow by using a _____ or repo which is a short term collateralized loan.

▶Letter of credit

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▶Discounted loan

▶Repurchase agreement

▶Federal funds

Question No: 35 (Marks: 1) - Please choose one

What happens when a bank does not meet customer's request for immediate funds?

- ▶There will be risk of failure even with positive net worth
 - ▶Liquidity will drive it out of business
-

Team is not responsible for any Type of Mistake.

▶There will be risk of failure with negative net worth

▶None of the given options

Question No: 36 (Marks: 1) - Please choose one

Which of the following are the primary uses of funds of Finance Company?

▶Cash, loans, securities

▶Corporate bonds, government bonds

▶Commercial paper, bonds, mortgages

▶Bonds, bank loans, commercial paper

Question No: 37 (Marks: 1) - Please choose one

Which of the following are not under the control of a central bank?

▶Govt. budget

▶Fiscal policy

▶Securities market

▶All of the given options

Team is not responsible for any Type of Mistake.

Question No: 38 (Marks: 1) - Please choose one

_____ The _____ framework is made up of the objectives of central banks and requirements that central bank be independent, accountable and good communicator.

▶ **Monetary policy**

▶ Fiscal policy

▶ Insurance policy

▶ Trade policy

Question No: 39 (Marks: 1) - Please choose one

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“Pooling the knowledge of a number of people yields better decisions than decision making by an individual” represent which of the following principle of central bank design?

▶ Independence

▶ Decision making by committee

▶ **Accountability and transparency**

▶ Policy framework

Question No: 40 (Marks: 1) - Please choose one

Team is not responsible for any Type of Mistake.

If the cost of the currency is the interest it would earn on deposits then what would be its benefit?

- ▶ Higher risk and lower liquidity
- ▶ **Higher risk and higher liquidity**
- ▶ Lower risk and lower liquidity
- ▶ Lower risk and higher liquidity

Question No: 41 (Marks: 1) - Please choose one

The quantity of money people hold for transaction purposes does NOT depends upon:
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- ▶ Nominal income
- ▶ Cost of holding money
- ▶ Availability of substitutes
- ▶ **Real income**

Question No: 42 (Marks: 1) - Please choose one

Portfolio demand for money goes up as the riskiness of the alternative _____

Team is not responsible for any Type of Mistake.

► Falls

► Rises

► Remain stable

► Cannot be determined

Question No: 43 (Marks: 1) - Please choose one

There must be some level of the _____ at which aggregate demand equals potential output.

► Real interest rate

► Nominal interest rate

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► Effective interest rate

► None of the given options

Question No: 44 (Marks: 1) - Please choose one

_____ The higher real interest rate reduces consumption, investment, and net exports causing aggregate demand (output) to _____.

► Fall

Team is not responsible for any Type of Mistake.

►Rise

►Remain constant

►Incomplete information

Question No: 45 (Marks: 1) - Please choose one

In which of the following situation part of the economy's capacity is idle, and firms tend to raise their prices and wages less than they did when current output equaled potential output?

►When current output is below potential output

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►When current output is exceeds potential output

►When current output equals potential output

►None of the given options

Question No: 46 (Marks: 1) - Please choose one

In which of the following situation firms increase their prices and wages more than they would if they were operating at normal levels?

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-
- ▶When current output is below potential output
 - ▶**When current output exceeds potential output**
 - ▶When current output equals potential output
 - ▶None of the given options

Question No: 47 (Marks: 1) - Please choose one

Which of the following is determined by the intersection of the aggregate demand curve with the short-run aggregate supply curve?

- ▶**Short-run equilibrium**
- ▶Long-run equilibrium
- ▶Both short-run and long-run equilibrium
- ▶None of the given options

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Question No: 48 (Marks: 1) - Please choose one

An increase in aggregate demand causes a temporary increase in which of the following?

- ▶Out put
-

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► **Inflation**

- Both output and inflation
- Incomplete information

Question No: 49 (Marks: 3)

Discuss velocity both in long and short run.

Question No: 50 (Marks: 3)

What is the effect of an increase in potential output on inflation and output?

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Answer:- Increase in potential output shifts long run aggregate supply curve to right, this shift has no impact on short run aggregate supply curve so inflation and output remains unchanged. But in long run now as potential output is increased so current output will be below potential output creating recessionary out gap causing inflation to fall and output begins to rise.

Question No: 51 (Marks: 5)

If banks offers Mr. A a choice, that whether he leaves his entire monthly salary in his account or shifting funds back and forth between checking account and bond fund. What should be Mr. A's frequency of shifting the funds between the bond fund and checking account?

(Note: Bond fund pays interest but adds a service charge of Rs.20 for each withdrawal)

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Question No: 52 (Marks: 5)

Briefly explain the reasons that why the government gets involved in the financial system.

Question No: 53 (Marks: 5)

A well-designed policy framework helps policymakers establish credibility. Discuss the principles of central bank design.

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